

Segment 6 : Business ethics, CSR, Alliances and MNC'S

**Topic 1 : Business Ethics and Corporate Social
Responsibility**

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1.1 Introduction

Corporate social responsibility (CSR) is a self-regulating business model that helps a company be socially accountable to itself, its stakeholders, and the public. By practising corporate social responsibility, also called corporate citizenship, companies can be conscious of the kind of impact they are having on all aspects of society, including economic, social, and environmental.

To engage in CSR means that, in the ordinary course of business, a company is operating in ways that enhance society and the environment instead of contributing negatively to them.

In this topic, corporate social responsibility (CSR) also will be discussed in detail. It is the responsibility of the business in which the companies try to measure and control their impact on society. It is a corporate approach to ensure that a company does the right thing and contributes something to society while balancing its responsibilities toward different stakeholders.

The concept of CSR is very old in India. Mahatma Gandhi's logic of trusteeship is like CSR of the modern world; companies like TATA and BIRLA have been soaking up the case for social great in their operations for quite a long time, well before CSR becomes the famous cause. The interest in network welfare among the Tata Group dates back to the 1860s when Jamshed Ji Tata founded the organisation. This explains why nearly 66% of the equity of Tata Sons, the Tata Group's promoter organisation, is held by philanthropic trusts, which have created a large group of national establishments in science and technology, medical research, social studies, and the performing expressions.

This chapter will explain in detail the concept of social audit. Social audit is a mechanism used to understand, measure, report and enhance an organisation's overall ethical performance. For this, the involvement of its stakeholders like customers, employees, creditors, suppliers, shareholders, vendors, and society is vital. This topic will explain social audit and social governance with its process in detail.

Learning Objectives

After studying this chapter, you will be able to:

Discuss the concept and significance of ethics and values from an organisational perspective

Identify the ethical issues in corporate governance

Analyse corporate social responsibility and explain how organisations are responsible toward their stakeholders

Discuss the concept of social audit and corporate governance

1.2 Ethics and Values

Business ethics is the study of relevant business policies and practices in relation to potentially controversial topics, including corporate governance, internal trading, bribery, discrimination, CSR, and responsibilities of trust. The law usually governs business ethics, but sometimes business ethics provide a basic guide that businesses can choose to follow in order to gain public approval. The values are the basis for making judgments about the things that are important for the success of an organisation in its core business.

Business ethics is the study of appropriate business policies and practices regarding potentially controversial subjects, including corporate governance, insider trading, bribery, discrimination, corporate social responsibility, and fiduciary responsibilities.

Scope of Business Ethics

- Ethics in compliance: Business ethics play an important role in the integration of business activities with legal rules and regulations. It ensures that the business complies with all established rules and that none of its operations is illegal. It reduces any opportunity to deal with any misconduct by the authorities, such as the payment of fines. An entity that follows ethical principles in its operations incorporates strategies and policies in accordance with established laws and regulations.
- Ethics in human resources: Human resources are central to all businesses and play a key role in their success. Ethical principles help to improve the employer-employee relationship and the overall productivity of the business. Employee-related ethics are introduced and applied by human resource managers in the business. HRM covers

all employer-employee-related ethical issues that affect their relationship.

- Ethics in finance: Finance is an integral part of every business and is essential to its successful operation. Finance must be well managed by all businesses; otherwise, they may have negative consequences. Ethics aims to control and manage all financial matters facing companies and employees. The various ethical issues involved are related to accounting, such as window dressing and improper window dressing, internal trading, false refunds, overcharging, bribery, cash payments, etc.
- Ethics in production: Business ethics help to monitor and regulate all production activities. It ensures that production processes do not affect the business. The organisation should make sure that ethics should be followed in the production processes, whether it is about quality or quantity.
- Ethics in marketing: Marketing is an important part of all business organisations. It is a method used to improve sales and business profitability. Marketing methods should be ethical and should avoid the acceptance of any inappropriate methods.

1.3 Ethical Conduct and Unethical Conduct

Ethical Conduct

Ethical conduct is behaviour that is proper and appropriate. It is based on morals; ethical conduct is the right way to behave. Good manners are a form of morality. It chooses what is right and good. Moral behaviour is when a person behaves very well. All their actions and words follow godly principles and morals. People enjoy being around those who are morally upright. It is a behaviour that is morally acceptable as "good" or "right" in a particular situation. Good behaviour means that it is moral and in line with the standards set by the community, organisation, or institution.

This means the conduct that organisations expect their employees to behave while on duty. Most organisations have developed documents called "code of conduct," which set acceptable work ethics.

Organisations have set rules and regulations for the employees being hired by them. This is because human behaviour can affect relationships in an organisation, thus taking a negative toll on the overall performance of the organisation.

Unethical Conduct

Unethical conduct is any action intended to take advantage of another person without their knowledge or consent. It can also be defined as cheating a person. Misconduct is a way to make society less receptive. "Bad" behaviour, being "Wrong" in a particular situation, bad language, wrong choices of words, and violent acts are examples of misconduct.

1.4 Impact of Ethical Conduct

- Competitive advantage can be generated with the help of ethical conduct, as it is desirable by all the stakeholders of the business.
- An organisation can create a positive corporate image and goodwill as ethics brings goodwill to the organisation.
- With the help of increasing morale and trust, businesses can enhance their market share.
- Customers show more trust and faith in businesses that follow ethical values and have confidence that their rights will not be exploited.
- Following ethics is mandatory for the survival of a business. The business that does not follow ethics cannot survive in the long run.
- More investors can be attracted as entities have faith in the organisation, which reduces the pain of getting investors for the organisation.

1.5 Corporate Social Responsibility

STUDY NOTE

CSR "analyses economic, legal, moral, social and physical aspect of the environment."

CSR is a business model that allows companies to incorporate social and environmental responsibility directly into their positive performance. CSR is self-regulating and is a great opportunity for companies to make a positive impact and establish themselves as leaders in this growing environment. And it pays off—research shows that most consumers prefer to buy environmentally friendly products. CSR is a self-governing business model that helps a company to be accountable to the

community—itsself, its stakeholders, and the community. By performing the corporate obligation, also called corporate citizenship, companies can recognise the type of impact they have on all aspects of society, including economic, social, and environmental. CSR is a gesture of commitment to companies and an act of showing concern and commitment to the company in addressing social sustainability and development. CSR is the company's ethical approach to society.

The social responsibility of an organisation is a broad concept that can take many forms depending on the company and the industry. With CSR programs, compassion, and voluntary efforts, businesses can benefit the community while growing their products. As important as CSR is to the public, it is equally important to the company. CSR activities can help build a stronger bond between employees and companies, increase morale, and help both employees and employers feel more connected to the world around them.

CSR requires that the organisation should acknowledge that it should be accountable to the public. It is not only for their financial performance but also for the environmental and social record. It is an extended model of corporate governance as the responsibility of corporations to contribute to the bettering of society and the environment.

Examples:

- IBM UK is reinventing education partnership programme interactions and sharing of knowledge through internet technology, for which they launched "Learning Village" software.
- TIO's Lead India campaign, which is for the contribution towards educating the poor people.
- ITC's Choupal is a long-running flagship CSR program by the company, and it is for the development of the community on international grounds.

Basic Constituents of CSR

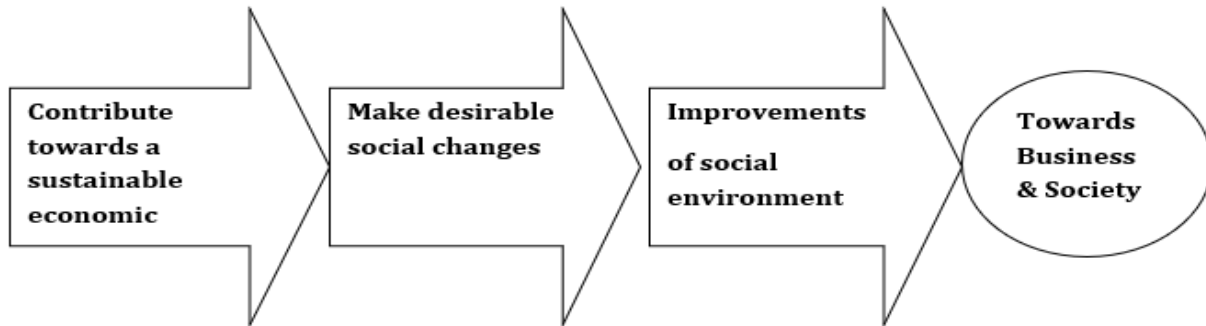


Fig 1: Basic Constituents of CSR

Features of CSR

- CSR is an old concept, though the perspectives of CSR are kept on changing over time.
- It focuses on the idea that every business has social obligation beyond only making a profit. It is the responsibility of the organisation to create an overall positive impact on society.
- An organisation cannot survive without serving society. By fulfilling their social responsibility, the organisation creates a conducive environment.
- A business organisation can discharge its social responsibilities through its employees, who manage and control it.
- Social responsibility is a continuous obligation of an organisation. It is the responsibility of the organisation for its whole life.
- CSR is based on ethical conduct because it involves the application of moral values in the business.

Scope of CSR in Various Functions of an Organization:

- CSR in human resources: It helps to retain employees by improving the business image among its employees. Business employees can participate in CSR activities by raising funds and assisting various non-profit businesses.

- **CSR in risk management:** It helps to protect the interests of the business. Many organisational strategies focus on managing a variety of risks. In business, the interest created can be damaged by a variety of factors, such as scandals, corruption, and natural disasters. Such incidents receive undue attention from various legal and regulatory bodies, including the courts and the media. The role of CSR is very important in such cases.
- **CSR in brand differentiation:** It creates a unique business image in the minds of stakeholders. Integrity and ethical practice can help a business to gain a distinctive image in the market and be more competitive than its competitors.

1.5.1 Models Of CSR

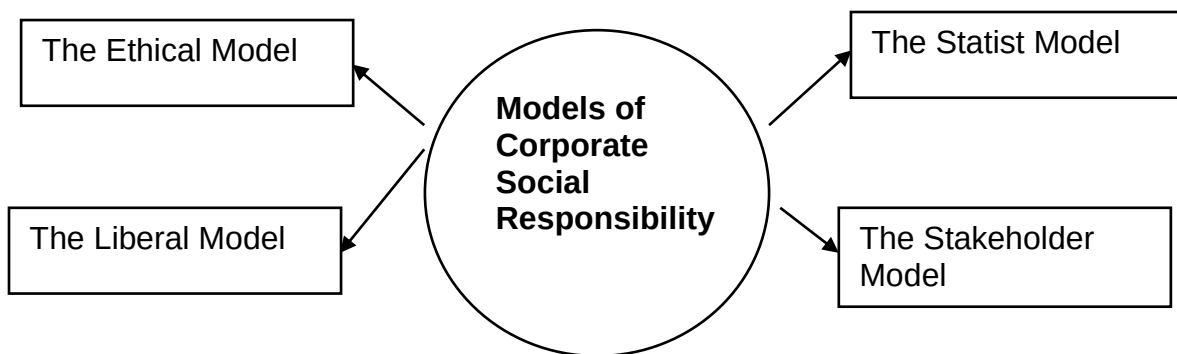


Fig 2: Models of CSR

- **The ethical model:** Mahatma Gandhi developed the idea of trusteeship. In this concept, property owners should voluntarily manage their property on behalf of the public. Gandhiji's instinct encouraged Indian business houses to play a significant role in economic and social development and in nation-building. Their commitment to social justice is reflected in their investment in schools, colleges, hospitals, and other social service.
- **The statist model:** This model was introduced in India after independence. India has embraced a mixed economy and a socialistic pattern, encompassing a larger and growing social sector. State ownership of basic and heavy industries (oil exploration, power generation, iron, and iron, petrochemicals, etc.), as well as the Indian

legal framework, reflects CSR. The statist model proposes state governance by business to ensure that it is accountable to the public.

- **The liberal model:** According to this model, the company is primarily responsible for its shareholders. A company issues its CSR if it complies with the law and generates wealth for shareholders. This model is based on Milton Friedman's view that the only responsibility of a business is to increase profits.
- **The stakeholder model:** This model suggests that the company is responsible for all those groups that have a direct or indirect stake. These groups are known as stakeholders. They include shareholders, customers, service providers, distributors, the government, the media, and the public.

1.6 Business Obligations

The obligations of business towards different interest groups:

- Responsibility towards society
- Responsibility towards government
- Responsibility towards owners
- Responsibility towards shareholders
- Responsibility towards employees
- Responsibility towards suppliers
- Responsibility towards consumers

- **Responsibility towards society:** Businesses need to work in society; the importance of social responsibility is also defined from a public perspective. The business provides a good product, try to keep the environment clean, provides an opportunity for business participation, and works for the development of the general public; these are few examples.
- **Responsibility towards government:** Business organisations pay regular taxes to the government. Also, the organisations follow all the norms being set by the government as it's the social responsibility to fulfil the norms.
- **Responsibility towards owners:** Owners are the ones who own the business. They invest their capital and bear the business risks. The

responsibilities of businesses towards the owners are to run the business efficiently, to properly utilise the resources available with the organisation, to grow and appreciate the capital, and to have regular and fair returns on capital invested.

- **Responsibility towards shareholders:** Investors are those who provide finance in the form of investments in debentures, bonds, deposits, etc. Banks, financial institutions, and the investment community are all included in this category. The business obligations to its investors are as follows:
 - Ensuring the safety of their investments.
 - Regular interest payments.
 - Repayment of principal amount timely.
- **Responsibility towards employees:** A business needs employees or employees to work for it. These employees give their best to benefit the business. Therefore, it is the main responsibility of all businesses to take care of the interests of their employees. If employees are satisfied and efficient, only then can the business succeed. Business obligations to its employees include:
 - Timely payment, and normal pay and salaries.
 - Appropriate working conditions and social services.
 - Opportunity for better job opportunities.
 - Job and social security such as provident fund, group insurance, pensions, retirement benefits, etc.
 - Better living conditions such as housing, transport, kindergartens, and more.
 - Timely training and development.
- **Responsibility towards suppliers:** Suppliers are those entities that supply raw materials and other items required by the manufacturer to produce the products. Some suppliers, called distributors, offer finished products to consumers. The business obligations of those suppliers are as follows:
 - Providing general purchase orders for goods.
 - Addressing non-discriminatory terms and conditions.
 - Finding the right credit period.
 - Timely payment of dues.

- **Responsibility towards customers:** No business can survive without customer support. As part of the business obligations to them, the business must provide the following services:
 - Products and services must be able to take care of customer needs.
 - Products and services must be up to standard.
 - There should always be a regular supply of goods and services.

1.7 Social Audit and Corporate Governance

The term "social audit" can be translated in several ways. It is to understand how well a company has released its social obligations. However, experts see it as systematic as well as comprehensive evaluation of the organisation's "community performance" that is interpreted as an organisation's effort to enrich the general well-being of the community and the whole society.

The need for social audit arises for a variety of reasons. In order to achieve the goal of enriching the shareholder economically, the company deals with the loss of social and environmental impacts. And while many would not consider the social costs of such negative effects, their prices do not reflect the actual cost. Organisations do it mostly for competitive reasons. However, if significant public interest is to be maintained, there must be consideration for social benefits.

The company is expected to behave and act as a socially responsible member like any other person. It cannot avoid moral standards and cannot ignore genuine compulsions. There is a need for some form of accountability in the management sector, which is not limited to shareholders only. In modern times, the purpose of the business should be to make the most of the resources available to others. Profit can still be a necessary part of a complete picture, but it should not be the end of purpose. The company must accept its

commitment to the community and work for the greater good of the community.

STUDYNOTE

Social audit is a formal review of a company's efforts, processes, code of conduct and ethics in relation to social responsibility and the company's impact on society.

Social audit is an assessment of how good an organisation is achieving its goals and benchmarks for social responsibility. Companies aim to strike a balance between profit and social responsibility. Social audit is

an internal assessment of how a particular business affects the community. The audit helps companies to determine whether they meet their objectives, which may include measurable objectives and benchmarks. Social audit serves as a business way of determining whether actions are being accepted or not and linking that information with the company's overall image.

The concept of "social audit" is linked with CSR, which is a concept where organisations integrate social and environmental concerns in their business operations.

Scope of Social Audit

The scope of social audit can vary and be broader. Assessment can include social and public responsibility but also treatment for employees. Other guidelines and topics that include social audit include the following:

- Identifying the financial and physical gaps between the needs and resources available for societal development.
- Framing and plasticising various policy decisions keeping in consideration stakeholders' interests and priorities, specifically of rural poor.
- The environmental impact resulting from the organisation's operations.
- Openness in reporting any issues related to the impact on the public or environment.
- Financial transparency and accounting.
- Increased participation of the public in all stages of the budget cycle and public policy.
- Community development and financial contributions
- Charity to society.
- Volunteer work of employees for society.
- The workplace includes safety, non-harassment, and equal opportunity.
- Job salaries and benefits.
- Non-discriminatory actions.
- Diversity.

There is no standard for inclusion in social audit. Social audit can be optional; companies can choose to publish the results publicly or use them internally only.

Objectives of Social Audit

- To assess the financial and physical gaps between needs and resources available for societal development.
- To create awareness among the beneficiaries and providers of social, local, and productive services.
- To increase the effectiveness and efficacy of local development programmes.
- To finalise various policy decisions by considering stakeholders' interests and priorities, especially of rural people.
- To encourage the local democracy.
- To promote collective decision-making and sharing of responsibilities.

1.7.1 Process of Social Audit

The process of social audit is as follows:

1. **Plan and preparation for audit:** In the first step, the identification of social standards, policies, and values is made. The tasks of the audit are allotted to the team members, and the budget for the audit is prepared.
2. **Determine the scope of audit:** Here, the purpose, objectives, risks, and boundaries of the programme of audit are fixed.
3. **Find out the beneficiaries:** Listing out of the beneficiaries of the audit report is finalised. Meeting with the beneficiaries to understand their needs also takes place.
4. **Checking of social accounts:** The sources of data are identified, and the data related to the social activities is being collected. Social activities are checked as to whether the objectives are being met or not.
5. **Preparation of audit report, presentation, and follow-up:** Finally, the audit report and recommendations for the future road map and its follow-up is prepared. The report is presented to various stakeholders and the society. The social performance of the organisation is shared with the stakeholders.

Use of Social Audit Findings

Since the social audit is voluntary, any disclosure of findings to the general public is also voluntary. While positive results can be expressed, negative results can be kept internal and used to identify potential improvements that can make the results of the next social audit more positive.

For example, a company may find out from its assessment that it has not been adequately involved in charitable activities for society. As a result, corporate executives can develop programmes with balanced goals designed to increase public engagement. These activities can be monitored and evaluated during the next social survey. By continuing to strive to meet and exceed the standards of social responsibility, a company can improve its public perception over time. In short, a social audit helps companies to find a balance between profit and ethics.

1.7.2 Corporate Governance

Corporate governance in the context of a business refers to the rules, policies, and procedures that companies are governed by. In this way, the corporate governance model followed by a particular company is the distribution of rights and responsibilities by all stakeholders in the organisation.

Governance ensures that everyone in the organisation follows appropriate and transparent decision-making processes and that the needs of all stakeholders (shareholders, managers, employees, suppliers, and customers, among others) are protected. The purpose of corporate governance is to help build a climate of trust, transparency, and accountability that is needed to promote long-term investment, financial stability, and business integrity, thereby supporting strong growth and inclusive societies.

Corporate governance deals with how investors make sure they get the right return on their investments. In corporate governance, there is a clear distinction between the role of company owners (shareholders) and managers (executive directors) when it comes to making effective strategic decisions.

BENEFITS OF CORPORATE GOVERNANCE

- Corporate governance ensures that the management of organisations considers the best interests of all its stakeholders.
- It helps the organisation to deliver long-term corporate success and economic growth.
- It helps in maintaining the confidence of the investors, because of which the company will raise the capital effectively and efficiently.
- It has a positive impact on the price of shares and improves the positive image in the market.
- It helps in improving the control over the management and its information systems.
- It guides the management and managers about the goals and strategies of the organisation.
- It helps in reducing wastage, corruption, risks, and mismanagement.

1.8 Summary

Let us recapitulate the important concepts discussed in this topic:

- Ethics in the business is the study of appropriate business policies and practices which can ensure a certain basic level of trust between customers and various stakeholders.
- Organisation values are beliefs, philosophies, and principles that drive the business.
- Corporate social responsibility (CSR) is a type of business regulation that aims to being socially accountable and contributing efforts of the organisation towards the growth of society.
- Social audit is a way of understanding, measuring, reporting, and improving the organisation's social and ethical performance. It is an assessment of how well an organisation is achieving its goals or benchmarks for social responsibility.
- Corporate governance is a system by which organisations are controlled and directed. It refers to the way an organisation is governed.

1.9 Glossary

Let us have an overview of the important terms mentioned in the topic:

- **Audit:** The inspection or examination of various books of account by an auditor where a report is produced.
- **Obligation:** The state of performing something because it is a law or a duty or because a promise is made.
- **Competitive advantage:** A circumstances or condition which puts a company into a favourable or advantageous superior position.
- **Stakeholder:** Stakeholder is that party that has some interest in the organisation. The primary stakeholders in a basic organisation are its employees, investors, customers, and suppliers.
- **Sustainable development:** It is economic development that is conducted without depletion or damage of natural resources.

1.10 Case Study

Interweaving Social Responsibility with Commercial Purpose

There is much talk of sustainability in today's world. Social responsibility is about many things. It is also about sustainability. Take, for instance, technology. Appropriate technology is one that can enable poor people to make a living that can raise them out of poverty. Electricity is one means to help people make a living. India's villages are typically dimly lit by paraffin lamps and dim lights battling darkening chimneys. Sustainable electricity has the potential to help poor people become literate, for instance, and literacy is a means to lift them out of poverty.

Harish Hande has been working in the business of solar electrification for the past 12 years. Inspired by his professor at the University of Massachusetts, Jose Martin, who advised him that "social, economic needs are more important than technology," in 1995, Hande ventured into selling solar parts to the poor of Karnataka. At the university, he had worked on his Masters's and PhD in solar electrification. He gathered first-hand experience in the Dominican Republic as a student at The Indian Institute of Technology,

Kharagpur, where he observed the poor people readily paying for access to solar power.

Hande established the Selco Solar Light Company with a vision to empower the poor by enabling them access to electricity through solar energy. Selco has 85,000 clients in Karnataka and Gujarat at present, bringing sustainable electricity to 35,000 homes and small businesses. There are 145 employees, many of whom share his vision. Revenues for the year ending March 2007 were Rs. 13.25 crore with Rs. 75 lakh losses. Undeterred by losses, Hande has worked tirelessly to knit his sense of social responsibility with his business strategies. Projected losses for 2008 are Rs 25 Lakhs. There are related diversification plans to move into biogas and cooking gas, aiming at becoming an energy services company. Future plans include raising equity capital to finance an incubation centre in Bangalore using Selco as a training base to create Selco type organisations by training social entrepreneurs.

The business model rests of Selco rests on two basic needs of potential customer: doorstep servicing and doorstep financing. Doorstep servicing is achieved by setting up solar panels where needed; solar service centres are manned by technicians from nearby villages reachable by the service centres. This is one of the pillars of the business model. The second pillar rests on microfinancing, as the poor are not able to pay lump sums for services. Here enters the role of regional rural bank, commercial banks, cooperatives, and NGOs which finance or help financing the setting up of solar panels. The business is entirely market-based and, remarkably, does not require government subsidies.

Harish Hande is an individual with a multifaceted personality. Forty years old, he is a sort of polyglot who speaks several Indian languages. He prefers wearing ethnic clothes. His work came into the limelight when we become the winner of the Ashden Award for sustainable energy in 1995 and social entrepreneur of the Year 2007. Hande is busy breaking some entrenched myths; among them are the poor who cannot afford technology, the poor who cannot maintain technology, and one who cannot run a commercial venture without running a social venture. In the process, he is attempting to empower the poor in more ways than one.

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